BRL1: The Institutional Grade Brazilian Real-Pegged Stablecoin

Proof of Reserves (PoR) Report

April 14, 2025

1. Introduction

This report aims to clearly and transparently present the information regarding the reserves backing the BRL1 tokens issued by **BRL1 CONSORTIUM SERVIÇOS DIGITAIS S.A.**

BRL1 is issued by a consortium formed by **MB | Mercado Bitcoin, Bitso, Foxbit, and Cainvest**, through a joint vehicle, with the purpose of offering a Brazilian Real (BRL)-pegged stablecoin that is transparent, auditable, and aligned with global best practices. The reserves backing BRL1 are composed primarily of highly liquid Brazilian federal government bonds (LFTs), held in segregated and unencumbered accounts, under custody at regulated financial institutions in Brazil.

2. Methodology

The consolidated information in this report is sourced directly from the internal system of **Banco XP S.A.**, where the financial resources linked to the issuance of BRL1 are deposited. The custodian account is registered under the ownership of **BRL1 CONSORTIUM SERVIÇOS DIGITAIS S.A.**, and the bank balances and investment holdings are internally reconciled. The data reflects the exact reserve balance as of the reference date, compared to the total number of tokens issued and in circulation on the public blockchain.

BRL1 CONSORTIUM SERVIÇOS DIGITAIS S.A. is responsible for the integrity, accuracy, and validity of the information contained in this Proof of Reserves Report, as of the reference date of **April 14, 2025**.

This report was produced internally by the BRL1 team and approved by the Consortium's Board of Directors, representing the founding partners. Although this edition has not yet been audited by an independent third party, BRL1 reaffirms its commitment to transparency, data accuracy, and accountability. The transition to independently assured reports is part of the project's institutional development roadmap.

3. Reserve Composition

Component	Value (BRL)	% of Reserves
Bank Account Balance	R$ 233.369,00	4,12%
LFTs	R$ 5.414.435,43	95,68%
Repo Agreements	R$ 12.872,88	0,20%
TOTAL	**R$ 5.660.677,31**	**100%**

All assets backing BRL1 tokens are held in a segregated account at Banco XP S.A., under the ownership of BRL1 CONSORTIUM SERVIÇOS DIGITAIS S.A.

4. Tokens in Circulation

The total number of BRL1 tokens in circulation can be verified in real-time via the Polygon blockchain contract, using the following public API endpoint:

https://api.polygonscan.com/api?module=stats&action=tokensupply&contractaddress=0x5c067c80c00ecd2345b05e83a3e758ef799c40b5

Return: {"status":"1","message":"OK","result":"5349963000000000000000000"}

Note: The API returns values in the smallest unit (decimals). To get the actual BRL1 amount, divide the result by 10^{18}, following the Polygon network decimal standard.

The data presented in this report was collected on **April 14, 2025 at 18:57:10 UTC**, corresponding to block number **70301795** on the Polygon network (https://polygonscan.com).

At that moment, the total number of BRL1 tokens issued and in circulation was **exactly 5,349,963 BRL1**.

5. BRL1 Collateralization

Based on the data retrieved on **April 14, 2025 at 18:57:10 UTC**, corresponding to Polygon block **70301795**, the total number of BRL1 tokens in circulation was **5,349,963 BRL1**.

The corresponding reserve, composed of bank balance, LFTs, and repo agreements, totaled **R$ 5,660,677.31**, resulting in a **collateralization ratio of 105.81%**.

Indicator	**Value**
BRL1 Tokens in Circulation	5.349.963 BRL1
Total Reserve Value	R$ 5.660.677,31
Collateralization	**105,81%**

6. Conclusion

BRL1 CONSORTIUM SERVIÇOS DIGITAIS S.A. reaffirms its commitment to transparency, security, and institutional-grade governance of the BRL1 stablecoin.

This report reflects the current status of reserves relative to the issued tokens, demonstrating that BRL1 is fully backed by high-liquidity, low-risk assets, with collateralization above 100%.